to the absorption of the returning soldiers, etc., in gainful employment and to the prevention of unemployment. Whatever the domestic aspect of all this may be, and it will be serious enough unless basic changes take place, the international aspect is equally important.

Such is the curious nature of present-day economy in these days of mass production, that the U.S.A., the wealthiest and most powerful country in the world, becomes dependent on other countries absorbing its surplus production. For some years after the war there will be a big demand in Europe, China, and India for machinery as well as manufactured goods. This will be of considerable help to America to dispose of her surplus. But every country will rapidly develop its own capacity to manufacture most of its needs, and exports will tend to be limited to specialized goods not produced elsewhere. The consumption capacity will also be limited by the purchasing power of the masses, and to raise this fundamental economic changes will be needed.

It is conceivable that with the substantial raising of the standard of living all over the world, international trade and exchange of goods will prosper and increase. But that raising itself requires